The Commission uses the term "bilateral negotiation" to refer to the model whereby one party uses the telephone, email, or other communications to contact directly a potential counterparty to negotiate an SBS transaction. Once the terms are agreed, the SBS transaction is executed and the terms are memorialized.[852] In a bilateral negotiation, there might be no pre-trade or post-trade transparency available to the market because only the two parties to the transaction are aware of the terms of the negotiation and the final terms of the agreement. Further, no terms of the proposed transaction are firm until the transaction is executed. However, reputational costs generally serve as a deterrent to either party's failing to honor any quoted terms. Dealer-to-customer bilateral negotiation currently is used for all SBS asset classes, and particularly for trading in less liquid SBS, in situations where the parties prefer a privately negotiated transaction, such as for a large notional transaction, or in other circumstances in which it is not cost-effective for a party to the trade to use one of the execution methods described below.

One commenter elaborates on this model of trading, focusing specifically on dealer-to-client trading in the SBS market.[853] According to this commenter, at the moment, dealer-to-client trading in security-based swaps is largely opaque and fragmented, with most executions arising out of one-to-one private negotiations. When engaging with clients, liquidity providers typically provide "indicative" quotes (as opposed to firm binding quotes), inviting interested clients to follow-up bilaterally in order to obtain an executable price for a specific instrument.[854] Given that these executable prices are often only then honored at that exact moment in time, clients are unable to effectively put liquidity providers in competition and have little to no pre-trade

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852 *See, e.g.*, Trade Acknowledgement and Verification Adopting Release, *supra* note 802, 81 FR at 39809.

853 *See* Citadel Letter, *supra* note 18, at 8.

854 *Id.*

transparency regarding other available prices in the market.[855] Instead clients face the choice of either accepting the first executable price received or starting over with a new one-to-one negotiation, where pricing could move against the client as its trading interest is sequentially disclosed to additional market participant.[856] The commenter states that this opaque and fragmented execution process impairs client access to best execution by denying clients the ability to effectively compare and evaluate the quality of prices.[857]

Another model for the trading of SBS is the RFQ system. An RFQ system typically allows market participants to obtain quotes for a particular SBS by simultaneously sending messages to one or more potential respondents (SBS dealers).[858] The initiating participant is typically required to provide information related to the request in a message, which may include the name of the initiating participant, SBS identifier, side, and size. SBS dealers that observe the initiating participant's request have the option to respond to the request with a price quote.[859] These respondents are often, though not always, pre-selected. The initiating participant can then select among the respondents by either accepting one of multiple responses or rejecting all responses, usually within a "good for" time period. After the initiating participant and a respondent agree on the terms of the trade, the trade will then proceed to post-trade processing.

RFQ systems provide a certain degree of pre-trade transparency in that the initiating participant can observe the quotes it receives (if any) in response to its RFQ. The number of

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855 *Id.*

856 *Id.*

857 *Id.*

858 *See* Lynn Riggs, Esen Onur, David Reiffen, and Haoxiang Zhu, *Swap Trading After Dodd-Frank: Evidence from Index CDS*, 137 J. Financial Economics 857 (2020) (finding that, in the index CDS market, an initiating participant is more likely to send RFQs to its relationship dealers, *i.e.,* its clearing members or dealers with whom it has traded more actively in the recent past).

859 *See id.* (finding that, in the index CDS market, a dealer's response rate to an RFQ declines with the number of dealers included in the RFQ).

quotes received depends, in part, on the number of respondents that are invited to participate in the RFQ. As the Commission discussed elsewhere, several factors may influence the number of respondents that are invited to participate in an RFQ.[860] First, the RFQ system itself may limit the total number of respondents that can be selected for a single RFQ, typically to five counterparties. This limitation may encourage SBS dealers to respond to RFQs, since it reduces the number of other SBS dealers they would compete with in any give request session. Second, the initiating participant may have an incentive to limit the degree of information leakage. If the trade the initiating participant is seeking to complete with the help of the RFQ is not completely filled in that one session, and other participants know this, quotes the initiating participant receives elsewhere may be affected, including in subsequent RFQ sessions. Third, respondents and initiators both have an incentive to limit price impact because of the expense it will add to the offsetting trade that must follow. Specifically, an SBS dealer who takes a position to fill a customer order through an RFQ will often subsequently offset that position in the interdealer market. If a large number of SBS dealers are invited to participate in an RFQ, this would lead to widespread knowledge that the SBS dealer with the winning bid will now try to offset that position, which could impact the prices available to that dealer in the interdealer market.

Two commenters describe the "request-for-stream" trading protocol, which allows liquidity providers to stream firm prices on trading platforms such as those run by SEFs.[861]

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860 *See* Amendments to Exchange Act Rule 3b-16 Regarding the Definition of "Exchange"; Regulation ATS for ATSs That Trade U.S. Government Securities, NMS Stocks, and Other Securities; Regulation SCI for ATSs That Trade U.S. Treasury Securities and Agency Securities SEA Release No. 94062 (Jan. 26, 2022), 87 FR 15496 (Mar. 18, 2022) ("ATS-G Proposal"), section VIII.B.1.a therein.

861 *See* Citadel Letter, *supra* note 18, at 13; MFA Letter, *supra* note 18, at 8. *See* also *supra* section V.E.1(b)(iii). *See* also Lynn Riggs, Esen Onur, David Reiffen, and Haoxiang Zhu, *Swap Trading After Dodd-Frank: Evidence from Index CDS*, 137 J. Financial Economics 857 (2020) (documenting that this trading protocol—also referred to as "request for streaming"—is one of the trading protocols used in the trading of index CDS on SEFs).

These firm prices are not required to be communicated to clients sending an RFQ on these trading platforms.

A fourth model for the trading of SBS is a limit order book system or similar system, which the Commission understands is not yet in operation for the trading of SBS in the United States.[862] Today, securities and futures exchanges in the United States display a limit order book in which firm bids and offers are posted for all participants to see, with the identity of the parties withheld until a transaction occurs.[863] Bids and offers are then matched based on price-time priority or other established parameters and trades are executed accordingly. The quotes on a limit order book system are firm. In general, a limit order book system also provides greater pre-trade transparency than the models described above, because participants can view bids and offers before placing their bids and offers. However, broadly communicating trading interest, particularly about a large trade, might increase hedging costs, and thus costs to investors, as reflected in the prices from the SBS dealers. The system can also provide post-trade transparency, to the extent that participants can see the terms of executed transactions.

The models described above represent broadly the types of trading of SBS in the OTC market today. These examples may not represent every method in existence today, but the discussion above is intended to give an overview of the models without providing the nuances of each particular type.

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862 With respect to swaps traded on CFTC-registered SEFs, CFTC regulation § 37.9(a) provides that Required Transactions that are not block trades must generally be executed via an order book or RFQ system. CFTC regulations §§ 37.9(d) and (e) contain exceptions to the § 37.9(a) execution requirements for certain package transactions and error trades, respectively. *See supra* section V.E.

863 Under CFTC rules applicable to the swaps markets, § 37.9(f) prohibits the practice of post-trade name give-up for swaps that are executed, pre-arranged, or pre-negotiated anonymously on or pursuant to the rules of a SEF and intended to be cleared, subject to an exception related to certain package transactions. *See supra* section V.E (discussing Rule 815).

C. Benefits and Costs

The Commission's consideration of the benefits and costs of the adopted rules and amendments takes into account the connection between the trade execution requirement and the mandatory clearing requirement mandated by Congress. Specifically, the Dodd-Frank Act amended the SEA to require, among other things, the following with respect to SBS transactions: (1) transactions in SBS must be cleared through a clearing agency if they are required to be cleared;[864] and (2) if the SBS is subject to the clearing requirement, the transaction must be executed on an exchange or on an SBSEF registered under section 3D of the SEA or an SBSEF exempt from registration under section 3D(e) of the SEA, unless no SBSEF or exchange makes such SBS available for trading or the SBS is subject to the clearing exception in section 3C(g) of the SEA.[865] The benefits and costs associated with the trade execution requirement will not materialize unless and until the Commission makes mandatory clearing determinations, i.e., determining what SBS transactions must be cleared by a clearing agency.

The general approach to finalizing requirements relating to SBS execution could mitigate costs associated with the adopted rules and amendments. As discussed in section I, the Commission's approach is to harmonize as closely as practicable with analogous CFTC rules for SEFs, unless a reason exists to do otherwise in a particular area. Based on the Commission's belief that SBSEF registrants likely would be registered SEFs that have established systems and policies and procedures to comply with CFTC rules, the Commission's general approach potentially will result in compliance costs for registered SBSEFs that are lower than compliance costs that would have resulted had the Commission chosen not to harmonize its approach as

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[864] *See* Pub. L. No. 111-203, § 763(a) (adding section 3C(a)(1) of the SEA).

[865] *See id. See also* Pub. L. No. 111-203, § 761(a) (adding section 3(a)(77) of the SEA to define the term "security-based swap execution facility").

closely as practicable with analogous CFTC rules for SEFs.[866] Several commenters state that the Commission's general approach would mitigate costs for registered SBSEFs and SBS market participants.[867]

In assessing the economic impact of the adopted rules and amendments, the Commission considers the broader costs and benefits associated with the application of the adopted rules and amendments, including the costs and benefits of applying the substantive Title VII requirements to the trading of SBS.[868] The Commission's analysis also considers "assessment" costs—i.e., those that arise from current and future market participants expending resources to assess how they will be affected by Regulation SE, and could incur expenses in making this assessment even if they ultimately are not subject to rules for which they made an assessment.

Many of the benefits and costs discussed below are difficult to quantify. These benefits and costs would depend on how potential SBSEFs and their prospective members respond to the adopted rules and amendments. If potential SBSEFs perceive the costs associated with operating registered SBSEFs to be high, such that few or no entities come forward to register as SBSEFs, there could be no triggering of the trade execution requirement, which depends on MAT determinations made by registered SBSEFs (or exchanges). Under this scenario, the future state of the SBS market likely will not differ from the current baseline and the potential costs and benefits discussed below will not materialize. An alternative scenario is that prospective SBSEFs

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866 In section XVIII *infra*, for purposes of the PRA, the Commission estimates burdens applicable to a stand-alone SBSEF. However, the Commission anticipates that most if not all SBSEFs will be dually registered with the CFTC as SEFs, and thus will already be complying with relevant CFTC rules that have analogs to rules contained within Regulation SE. Therefore, the Commission's burden estimates may be larger for stand-alone SBSEF than may exist in practice, considering the effect of overlapping CFTC rules.

867 *See* Bloomberg Letter, *supra* note 18, at 2, 10, 18; ICE Letter, *supra* note 18, at 2; ISDA-SIFMA Letter, *supra* note 18, at 2; SIFMA AMG Letter, *supra* note 18, at 5; Tradeweb Letter, *supra* note 18, at 1–2.

868 In certain prior Title VII releases, the Commission had referred to such costs and benefits as programmatic costs and benefits. *See, e.g.*, Regulation SBSR Adopting Release I, *supra* note 140.

perceive the costs associated with operating registered SBSEFs to be high but nevertheless register as SBSEFs because they expect to be able to pass on such costs to their members to help maintain the commercial viability of operating a registered SBSEF. MAT determinations by registered SBSEFs will move trading of the products covered by the determinations onto SBSEFs, which can generate benefits and costs associated with increased pre-trade transparency, in addition to benefits and costs associated with the operation of regulated markets. A third possibility is that entities come forward to register as SBSEFs because they perceive the associated costs of operating SBSEFs to be low in light of the close harmonization of Regulation SE with analogous CFTC SEF rules. If these registered SBSEFs do not make MAT determinations and thus do not trigger the trade execution requirement, the benefits and costs associated with increased pre-trade transparency likely will not arise. If SBSEF trading is limited because of an absence of MAT determinations, the benefits and costs associated with the operation of regulated markets potentially will be limited as well. A fourth possibility is that entities do come forward to register as SBSEFs because they perceive the associated costs of operating SBSEFs to be low and these registered SBSEFs make MAT determinations and trigger the trade execution requirement. Under this scenario, the benefits and costs associated with increased pre-trade transparency and regulated markets likely will arise. The Commission does not have the data to determine which of the above possibilities will prevail following the adoption of the rules and amendments considered herein.

The Commission has attempted to quantify economic effects where possible, but much of the discussion of economic effects is necessarily qualitative.

1. Overarching Benefits of the Rules and Amendments

Broadly, the Commission anticipates that the new rules and amendments may bring several overarching benefits to the SBS market.

Improved Transparency. The final rules would enable the Commission to obtain information about SBSEFs, thereby facilitating the Commission's oversight of these entities.[869]

In addition, the requirements relating to pre-trade transparency would increase pre-trade transparency in the market for SBS.[870] Increased pre-trade price transparency should allow an increased number of market participants to better see the trading interest of other market participants prior to trading, which should lead to increased price competition among market participants.[871] The requirements with respect to pre-trade price transparency should lead to more efficient pricing in the SBS market.[872]

Evidence from the swap market suggests that an increase in pre-trade transparency is associated with improved liquidity and reduced transaction costs.[873] The Commission is not

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869 For example, Rule 826, among other things, requires an SBSEF to maintain records of its business activities (including a complete audit trail) for a period of five years and report to the Commission such information as the Commission determines to be necessary or appropriate for performing the duties of the Commission under the SEA. *See infra* this section for a discussion of how Regulation SE would provide the means for the Commission to gain better insight into and oversight of SBSEFs and the SBS market.

870 Rules 803(a)(2) and (3) require an SBSEF to offer, at a minimum, an order book for SBS trading, subject to certain exceptions related to package transactions. Rule 815(a) requires SBS transactions subject to the trade execution requirement to be executed using either an order book or via an RFQ-to-3 system. Rule 816 sets forth the process by which an SBSEF would subject an SBS to the trade execution requirement. Rule 817 informs market participants of the date on which the trade execution requirement for a particular SBS commences. Rule 832 describes those cross-border SBS transactions that would be subject to the trade execution requirement.

871 *See, e.g.*, Ananth Madhavan, *Market Microstructure: A Practitioner's Guide*, 58 Fin. Analysts J., at 38 (2002) (nondisclosure of pre-trade price information benefits dealers by reducing price competition).

872 *See, e.g.*, Ekkehart Boehmer, *et al.*, *Lifting the Veil: An Analysis of Pre-trade Transparency at the NYSE*, 60 J. Fin. 783(2005) (greater pre-trade price transparency leads to more efficient pricing).

873 *See* Evangelos Benos, Richard Payne, and Michalis Vasios, *Centralized Trading, Transparency, and Interest Rate Swap Market Liquidity: Evidence from the Implementation of the Dodd-Frank Act*, 55 J. Fin. and Quantitative Analysis 159 (2020) (finding, among other things, that imposition of the CFTC's trade execution requirement improved the liquidity of IRS that were subject to the requirement, and that the

aware of any difference between the swap market and the SBS market that would cause the empirical findings regarding the impact of pre-trade price transparency on liquidity and transaction costs not to carry over into the SBS market, when implemented. The Commission is mindful that, under certain circumstances, pre-trade price transparency could also discourage the provision of liquidity by some market participants.[874] However, having two execution methods for Required Transactions (limit order book and RFQ-to-3) would provide market participants with flexibility in the degree of pre-trade transparency they wish to employ. Using RFQ-to-3, a market participant could choose to reveal its trading interest to no more than three market participants; using a limit order book, the market participant would reveal its trading interest to all other market participants that have access to the same limit order book, which may exceed three market participants. The flexibility in the degree of pre-trade transparency should diminish potential concerns associated with the exposure of pre-trade trading interest.

Two commenters agree that the proposal would increase transparency in the SBS market.[875] One of these commenters believes that the introduction of multilateral trading protocols would increase pre-trade transparency and competition, which should improve liquidity conditions, reduce transaction costs, and facilitate execution quality analysis, as clients will be able to put liquidity providers in direct competition.[876]

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liquidity improvement was associated with more intense competition between swap dealers); Y.C. Loon and Zhaodong (Ken) Zhong, *Does Dodd-Frank Affect OTC Transaction Costs and Liquidity? Evidence from Real-Time CDS Trade Reports*, 119 J. Fin. Econ. 645 (2016) (finding that index CDS transactions executed on SEFs have lower transaction costs and improved liquidity than index CDS transactions executed bilaterally).

874 *See, e.g.*, Ananth Madhavan, *et al*., *Should Securities Markets Be Transparent?*, 8 J. Fin.Markets 265 (2005) (finding that an increase in pre-trade price transparency leads to lower liquidity and higher execution costs, because limit-order traders are reluctant to submit orders given that their orders essentially represent free options to other traders).

875 *See* Bloomberg Letter, *supra* note 18, at 1; Citadel Letter, *supra* note 18, at 8.

876 *See* Citadel Letter, *supra* note 18, at 8.

One commenter believes that proposed Rule 819(c) would help ensure that investment advisers to regulated funds will be able to participate on SBSEFs, accessing the pricing and other market information that may be available on SBSEF, which would increase transparency in the derivatives market.[877] The Commission agrees that Rule 819(c), by requiring an SBSEF to provide any ECP with impartial access to its market(s) and market services, would help ensure that ECPs, including investment advisers, are able to access pricing and other market information on SBSEFs thereby increasing transparency in the SBS market.

Improved oversight of trading. Regulation SE requires, among other things, that SBSEFs maintain an audit trail and automated trade surveillance system; conduct real-time market monitoring; establish and enforce rules for information collection; and comply with reporting and recordkeeping requirements.[878] These requirements are designed to provide an SBSEF with sufficient information to oversee trading on its market, including detecting and deterring abusive trading practices. Additionally, an SBSEF shall permit trading only in SBS that are not readily susceptible to manipulation[879] and adopt rules that are reasonably designed to allow the SBSEF to intervene as necessary to maintain markets with fair and orderly trading and to prevent or address manipulation or disruptive trading practices.[880]

This framework could enhance investor protection and increase confidence in a well-regulated market among SBS market participants, which could in turn make them more willing to increase their participation or entice new participants. An increase in participation in the SBS market would, all else being equal, benefit the SBS market as a whole. Further, to the extent that

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877 *See* ICI Letter, *supra* note 18, at 11 n.6.

878 *See* Rules 819, 821, 822, and 826.

879 *See* Rule 820.

880 *See* Rule 824(b)(1).